A Resolution Adopting the Rules on the Gas Auction Threshold Price Determination Methodology, Gas Price Benchmark, and Settlement Mechanism for the Mid-Merit Natural Gas Capacity Auction Program Under Department of Energy Department Circular No. DC2026-06-0013

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1	Rule 3, Sec. 14.1–14.3 (p.19–20 of 35)	*14.2: "The Commission shall set the Reference Gas Price for Indigenous Natural Gas as the average of the benchmarks identified in Section 14.1..."* *14.3: "The Reference Gas Price...shall not exceed the JKM-equivalent price for LNG delivered in the Philippines..."*	The ceiling on the Reference Gas Price for Indigenous Natural Gas should be removed where pricing is based on a pre-existing GSPA or a new GSPA awarded through a transparent and competitive selection process. In these cases, the applicable GSPA price should be recoverable subject to prudency review, documentation, and audit, rather than being subject to a separate benchmark ceiling.	Suggested wording: Section 14. Reference Gas Price for Indigenous Natural Gas. Where a Winning Bidder sources natural gas from Philippine domestic gas fields under a Gas Sale and Purchase Agreement with a domestic gas producer, the Reference Gas Price shall be determined as follows: 14.1 The Reference Gas Price for Indigenous Natural Gas shall be the actual price under the applicable GSPA, provided that the GSPA was either: (a) executed prior to the effectivity of these Rules; or (b) awarded or entered into pursuant to a transparent and competitive selection process. In such cases, the applicable GSPA price shall be recoverable through the Fuel Cost Pass-Through mechanism, subject only to Commission verification that the GSPA falls within paragraph (a) or paragraph (b), and to documentation and audit of the competitiveness of the procurement process, where applicable.

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				14.2 For purposes of Section 14.1(b), Commission review shall be limited to determining whether the procurement process was transparent and competitive, based on the procurement rules, invitation or request documents, bid evaluation records, award recommendation, and other relevant procurement documentation. The Commission shall not re-price or benchmark the applicable GSPA price where the procurement process is verified to have been transparent and competitive.
2	Rule 3, Sec. 15 (p.20 of 35)	*"Reference Gas Price for Imported LNG."*	This Section exposes the bidder to non-recovery of full LNG purchase cost in cases where its actual inventory cost is higher than the JKM price.	Suggested wording: 15.1 (c)For Winning Bidders procuring LNG under long-term sale and purchase agreements, the actual contract price shall be used as the basis for Fuel Cost Pass-Through, subject to the least-cost procurement standard under Section 25(a). The contract price shall not be capped at the applicable spot benchmark where the Winning Bidder demonstrates that the contract price reflects prudent, least-cost procurement given market conditions prevailing at the time of contracting
3	p.24; Rule 3, Sec. 20	*Section 20. Annual Review and Update of Gas Price Benchmark. The Commission shall review and, if necessary, update the Gas Price Benchmark – .... – at least once per year, or within sixty*	The timing thresholds (within 60 days and sustained elevated prices for at least 30 days) included would not be swift enough in times of market volatility and likely result in importers halting LNG sourcing Also, in addition to rapid increases in JKM or any LNG price benchmark index, the review should also consider rapid rises in	Section 20. Annual Review and Update of Gas Price Benchmark. The Commission shall review and, if necessary, update the Gas Price Benchmark — including the Reference Gas Price, allowable add-on cost caps, and Reference Heat

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		(60) days following a material change in market conditions … sustained for at least thirty (30) consecutive calendar days, from the level prevailing at the last review)…"	other add-on cost such as freight costs for FOB pricing, insurance, and other logistics charges may also vary materially with market conditions and affect the actual landed cost of fuel.	Rate caps — at least once per year, or within ~~sixty (60)~~ thirty (30) days following a material change in market conditions (including a change exceeding a materiality threshold to be determined by the Commission in the JKM spot price or in any other applicable LNG price benchmark index, or in freight, insurance, or other logistics or add-on costs under Section 17 of these Rules, sustained for at least ~~thirty (30)~~ fifteen (15) consecutive calendar days, from the level prevailing at the last review). The Commission shall issue updated benchmarks through a Commission resolution, with public notice as required.
4	Rule 2, Sec. 8.5, 11.1–11.5 (p.13, 17–18 of 35)	*Sec. 11.5: "…the GAT Price and the corresponding endorsed Gas Auction Price (GAP)…shall be subject to a one-time indexation adjustment between the date of the Certificate of Award and the Commercial Operations Date (COD)…No further indexation shall be applied to the GAT Price or GAP for the remainder of the term of the Certificate of Award."*	Only a one-time GAT/GAP indexation is provided between Award and COD; the GAP is then fixed for a potentially 20–25 year term, with no mechanism for post-COD macroeconomic shocks (inflation, FX, interest rates, change in law/tax) — a significant risk given likely foreign debt/equity and USD-denominated equipment.	Suggested wording: 11.5 Indexation Between Certificate of Award and the Delivery ~~Commercial Operations~~ Date. The GAT Price and the corresponding endorsed Gas Auction Price (GAP) of a Winning Bidder shall be subject to ~~a one-time~~ periodic indexation adjustment between the date of the Certificate of Award and the Commercial Operations Date (COD) of the project, consistent with the Commission's practice under the Department of Energy's Green Energy Auction Program (GEAP). The indexation adjustment shall account for verified movements in the cost benchmarks and parameters used in the DCF Model under Section 8 between these two dates, shall be applied ~~only once upon~~ periodically prior to, and finally upon, the Winning Bidder's declaration of COD, and shall be

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				subject to Commission verification. No further indexation shall be applied to the GAT Price or GAP for the remainder of the term of the Certificate of Award, except upon a showing of change in law, or of extraordinary and sustained movement in inflation, interest rates, foreign exchange, or statutory charges, materially and adversely affecting the project's financial viability, subject to Commission verification and hearing.
5	Rule 5, Sec. 33 (p.31–32 of 35)	*"Where a designated off-taker DU experiences migration of its captive customers to the Customer Choice Program...the contracted BCQ of each Winning Bidder/s supplying that DU shall be proportionally reduced..."*	The Carve-Out Mechanism reduces BCQ pro-rata on DU customer migration; released capacity must be resold as merchant/spot, which is not economically equivalent to the firm GAP — migration risk is effectively transferred to the bidder post-financial-close.	Suggested wording: "Where a designated off-taker DU experiences migration of its captive customers to the Customer Choice Program...the contracted BCQ of each Winning Bidder/s supplying that DU shall be ~~proportionally reduced~~ reallocated to another qualified DU..."
6	Rule 2, Sec. 8.1, 8.3–8.4 (p.11–12 of 35); Annex A, Items A.7–A.8 (p.2–3 of 23)	*Annex A, Item A.7: "...the adopted DCF model itself does not simulate a distinct multi-year construction schedule, treating the entire Capital Expenditure (CAPEX) as a single Year-0 outlay."*	The DCF treats all CAPEX as a single Year-0 outlay despite realistic OEM lead times likely exceeding 5 years — financing/interest-during-construction (IDC) costs are not captured, understating true capital cost. Separately, the DCF Operating Period is based on projected plant life, which may exceed the actual firm award term, so the GAT Price may implicitly assume post-term revenue that is not contractually guaranteed.	DCF operating period should be consistent with the contract term.
7	Rule 2, Sec. 8.2, 8.4 (p.11–12 of 35); Annex A, Items A.9–A.12 (p.3–4 of 23)	*Sec. 8.4: "...shall solve, by iteration, for the levelized GAT Price at which the net present value of the reference project's equity cash flows, discounted at the WACC established under Section 8.2, equals zero."*	The DCF appears to compute after-tax equity cash flow, then discount it at the blended WACC rather than at the cost of equity — an internal inconsistency between an unlevered (WACC) and a levered (equity) valuation approach that will bias the solved GAT Price.	Clarify the valuation framework: either unlevered project free cash flow discounted at WACC, or levered equity cash flow discounted at the required return on equity (Re) — not a mix of both.

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8	Annex A, Item A.6 (p.2–3 of 23)	*A.6 Basis/Source: "General ERC rate-case practice (a range of combined O&M); midpoint to be determined by the Commission."*	The G&A cost formula uses a flat 7.5% of combined O&M with no disclosed supporting rate cases, range, or rationale — currently unverifiable.	Base G&A on the historical G&A run-rate of comparable gas plants rather than a flat percentage of O&M, or disclose the specific rate cases and range behind the proposed 7.5% figure. Suggested wording: The GA% shall be based as a percentage of revenues (e.g., ~5% of revenues – based on 2025 consolidated gas plants income statement) instead of % of Fixed and Variable O&M costs.
9	p.4; Sec. 4; Definition of Terms — Fuel Cost (FC)	*"...the product of the applicable Gas Price Benchmark reference rate...and the verified Heat Rate of the facility (in MMBtu/kWh)..."*	It is unclear whether the verified Heat Rate used in the Fuel Cost formula is computed on a gross (HHV) or net (LHV) heating-value basis — this can shift the computed Fuel Cost by several percent.	Suggested wording: "...the product of the applicable Gas Price Benchmark reference rate...and the verified Heat Rate of the facility (in MMBtu/kWh HHV)..."
10	Rule 3, Sec. 18–19 (p.23–24 of 35); Annex A, Item A.15 (p.4 of 23)	*Sec. 19: "Any fuel consumption above the Reference Heat Rate Cap attributable to the inefficient operation of the Winning Bidder's facility...shall not be recoverable through the Fuel Cost Pass-Through mechanism."*	A single fixed Heat Rate Cap for the whole contract term does not account for equipment degradation over time, risking avoidable fuel-cost disallowances in later contract years from normal wear. Separately, no numeric CCGT cap is yet set — only a qualitative standard ("consistent with commercially available high-efficiency CCGT technology") that could be set aggressively/near best-in-class rather than the bidder's actual achievable performance.	Suggested Reference Heat Rate Cap: **0.008326 MMBTu/kWh HHV**
11	Rule 4, Sec. 26 (p.27 of 35); cf. Sec. 25 (p.26–27 of 35)	*"...the Commission shall: (a) Issue a Notice of Disallowance...; (b) Direct the MO to offset the disallowed amount against future Fuel Cost settlements for the Winning Bidder...; and (c)*	Section 26 authorizes automatic offset of a disallowed amount against future settlements immediately upon a Notice of Disallowance before any appeal is resolved.	Suggested wording: (b) Direct the MO to offset the disallowed amount against future Fuel Cost settlements for the Winning Bidder, or to recover the disallowed amount from the Winning Bidder through such

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		Report the disallowance to the DOE..."		mechanism as may be provided in the approved Settlement Mechanism. *Provided*, that any offset or withholding under this paragraph shall be limited strictly to the specific disallowed or disputed amount or component, and shall not extend to, delay, or otherwise affect payment of any undisputed portion of the Winning Bidder's Fuel Cost or other amounts due under the Settlement Mechanism and that where the Winning Bidder files a timely challenge to the Notice of Disallowance, the offset or recovery under this paragraph shall be suspended pending final resolution of such challenge
12	Rule 3, Sec. 18(d) (p.24 of 35); cf. Republic Act No. 12120	*"Provided, That logistics costs embedded in the GAT Price under Section 8.6 that qualify for value-added tax exemption or zero-rating under Republic Act No. 11534 (CREATE Act) and applicable Philippine Economic Zone Authority rules shall be excluded from the GAT Price to the extent of such exemption..."*	Section 18(d) expressly references VAT exemption/zero-rating under the CREATE Act and PEZA rules, but does not mention the VAT exemption available under RA 12120 itself.	Amend Section 18(d) (and any related bid-evaluation provisions) to expressly cite the VAT exemption/incentive available under RA 12120 alongside the existing CREATE Act/PEZA references, and confirm how it is reflected in bid evaluation for indigenous gas-fired facilities. In particular, RA 12120 provides VAT exemption on the total power generated, not only the Fuel Cost; hence, the GAT Price and GAP should appropriately reflect the applicable fiscal incentives. Suggested wording: (d) The Fuel VAT Rate is the value-added tax rate applicable to the importation or sale of natural gas fuel under Section 108 of the National Internal Revenue Code, as amended, to be determined by the

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				Commission consistent with prevailing law, or such other rate as may be prescribed by law: *Provided*, That logistics costs embedded in the GAT Price under Section 8.6 that qualify for value-added tax exemption or zero-rating under Republic Act No. 11534 (CREATE Act), Republic Act No. 12120 (Philippine Natural Gas Industry Development Act), and applicable Philippine Economic Zone Authority rules shall be excluded from the GAT Price to the extent of such exemption, subject to Commission verification.
13	p.3; Sec. 4; Definition of Terms — Capacity Factor	*"...the Capacity Factor reflects the operational profile of a mid-merit plant: dispatched above baseload minimum but below full-load continuous operation."*	"Baseload minimum" is not a defined term, and it is unclear whether "below full-load continuous operation" means running below full load and for less than 24 hours.	Suggested wording: Capacity Factor of a mid-merit plant reflects an operational profile that is characterized by a dispatch between its minimum stable load (Pmin) and maximum dependable capacity (Pmax), as required by system demand and grid dispatch conditions.
14	— p.3 (CCGT),	*CCGT — Combined Cycle Gas Turbine; a high-efficiency power generation configuration combining a gas turbine with a steam turbine recovering exhaust suitable for baseload to mid-merit dispatch.*	the CCGT definition should mention the heat recovery steam generator (HRSG)	Suggested wording: CCGT — Combined Cycle Gas Turbine; a high-efficiency power generation configuration combining a gas turbine with a ~~steam turbine recovering exhaust heat~~ heat recovery steam generator (HRSG) and steam turbine to recover exhaust heat, suitable for baseload to mid-merit dispatch.